Disclosure Regulation, Stock Liquidity, and International Policy Diffusion

Extended Appendix

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This Extended Appendix reports the alternative disclosure audiences and broader regulatory targets, the complete collective-liquidity specification matrix and minimum-adopter support comparisons. The main paper targets five supported public-disclosure families in a common six-year stacked sample. The country–cohort audience comparisons answer the stated secondary change questions on their own supported samples. All original numerical results, model memberships, failed fits and source records remain in the accompanying data.

Table E1: Country–cohort comparisons across disclosure audiences and scope

Outcome	(1) Equal family weights	(2) Cap family weights
Panel A. Public disclosure		
Year 1: Δ Log Bid-Ask Spread	-0.022	-0.047
	(0.034)	(0.035)
Year 1: Δ Log price impact	0.031	-0.035
	(0.044)	(0.060)
Year 1: Δ Zero-return share	-0.006**	-0.003
	(0.003)	(0.004)
Year 1: country–family–cohort records	342	342
Year 1: countries / families	50 / 8	50 / 8
Years 1–3: Δ Log Bid-Ask Spread	-0.075**	-0.084*
	(0.039)	(0.052)
Years 1–3: Δ Log price impact	0.061	-0.040
	(0.042)	(0.048)
Years 1–3: Δ Zero-return share	-0.005**	-0.007**
	(0.002)	(0.003)
Years 1–3: country–family–cohort records	196	196
Years 1–3: countries / families	49 / 6	49 / 6
Panel B. Public and confidential disclosure		
Year 1: Δ Log Bid-Ask Spread	-0.009	0.016
	(0.032)	(0.041)
Year 1: Δ Log price impact	0.021	-0.045
	(0.048)	(0.098)
Year 1: Δ Zero-return share	-0.004	0.003
	(0.003)	(0.006)
Year 1: country–family–cohort records	412	412
Year 1: countries / families	50 / 9	50 / 9
Years 1–3: Δ Log Bid-Ask Spread	-0.031	0.086
	(0.046)	(0.113)
Years 1–3: Δ Log price impact	0.092	0.126
	(0.059)	(0.140)
Years 1–3: Δ Zero-return share	-0.004	-0.003
	(0.003)	(0.009)
Years 1–3: country–family–cohort records	237	237
Years 1–3: countries / families	49 / 7	49 / 7

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Outcome	(1) Equal family weights	(2) Cap family weights
Panel C. Broader regulatory universe		
Year 1: Δ Log Bid-Ask Spread	0.007	0.018
	(0.023)	(0.035)
Year 1: Δ Log price impact	0.027	-0.025
	(0.038)	(0.084)
Year 1: Δ Zero-return share	-0.002	0.004
	(0.002)	(0.005)
Year 1: country–family–cohort records	540	540
Year 1: countries / families	50 / 13	50 / 13
Years 1–3: Δ Log Bid-Ask Spread	-0.022	0.072
	(0.035)	(0.093)
Years 1–3: Δ Log price impact	0.082*	0.127
	(0.044)	(0.114)
Years 1–3: Δ Zero-return share	-0.004	-0.000
	(0.003)	(0.007)
Years 1–3: country–family–cohort records	328	328
Years 1–3: countries / families	49 / 10	49 / 10

This table reports secondary country–cohort change comparisons across public, combined and broader regulatory targets. The dependent variable is Δ log Bid-Ask Spread, Δ log impact or Δ zero-return share, measured from $g-1$ to $g+1$ or the mean of $g+1$ through $g+3$ as indicated. Panels differ in information audience and policy scope; supported family counts are reported in every block. Each cohort compares adopting countries with documented later adopters remaining untreated through the outcome endpoint; fixed companies and GDP country weights are used. Cohort intercepts enter the change regressions, without Country FE. Sources are policy documents, Datastream and World Bank GDP. Country influence errors preserve shared countries; reported significance uses the supplied conditional country multiplier p-values, with the full 36-cell and 12-primary comparison adjustments retained in accompanying data. These secondary samples differ from the primary six-year stacked sample. Standard errors are in parentheses on the separate row below each coefficient. ***, ** and * denote two-sided significance at 1%, 5% and 10%, respectively.

Table E2: Public and confidential information audiences

Audience or contrast	(1) Equal family weights	(2) Cap family weights
Panel A. Δ log Bid-Ask Spread		
Confidential tax	0.099	0.099
	(0.077)	(0.077)
Public minus confidential	-0.121	-0.145*
	(0.080)	(0.081)
Panel B. Δ log price impact		
Confidential tax	-0.057	-0.057
	(0.202)	(0.202)
Public minus confidential	0.088	0.022
	(0.199)	(0.202)
Panel C. Δ zero-return share		
Confidential tax	0.009	0.009
	(0.011)	(0.011)
Public minus confidential	-0.015	-0.012
	(0.011)	(0.011)

This table reports confidential-reporting coefficients and public-minus-confidential contrasts from the secondary cohort comparisons. The dependent variable is Δ log Bid-Ask Spread, Δ log price impact or Δ zero-return share from $g-1$ to $g+1$, mapped to Panels A–C. Public reporting reaches investors directly; confidential country reports are filed with tax authorities. The contrast compares different supported families and countries. Confidential reporting uses 70 country–family–cohort records across 50 countries and one family. The combined public/confidential contrast draws on 412 records across 50 countries and nine families. Columns use equal/cap family weights with GDP country weights. Cohort intercepts enter the country-change fits; there are no Country FE. Sources are policy histories, Datastream and World Bank GDP. Country score covariance includes shared countries across audiences, with conditional country errors and the original 108-test adjustment retained in the data. Standard errors are in parentheses on the separate row below each coefficient. ***, ** and * denote two-sided significance at 1%, 5% and 10%, respectively.

Table E3: Complete collective-liquidity specification matrix

Outcome	(1) Specifications	(2) Negative	(3) Positive	(4) Grid-adjusted $p < .05$
illiquidity_index	1296	1156	140	133
log_impact	1296	1064	232	59
log_spread	1296	1182	114	133
zero_fraction	1296	960	336	66

This table reports all 5,184 attempted collective-liquidity specifications. Dimensions are three annual trimming rules, two policy/outcome lags, two symmetric pre/post window lengths, three country weights, controls with/without, three disclosure scopes, four outcomes and six pooling methods. The matrix is a correlated set of specification comparisons; counts are not independent replications. Full coefficients, conditional intervals, pre-reform tests, family weights and every failed/support decision accompany the paper. Holm adjustment includes every attempted focal comparison. No additional regression is estimated in this table.

Table E4: Liquidity pooling with broader adopting-country support

Pooling method	(1) Without controls	(2) With controls
Minimum 2 adopting countries per family		
average equal family	-0.205**	-0.176*
	(0.094)	(0.101)
Supported families	3	3
average cap family	-0.201**	-0.170*
	(0.078)	(0.087)
Supported families	3	3
gls common effect	-0.193***	-0.164**
	(0.059)	(0.072)
Supported families	3	3
Country–stack–years	936	930
Countries	46	45
Minimum 5 adopting countries per family		
average equal family	-0.217	-0.183
	(0.154)	(0.151)
Supported families	2	2
average cap family	-0.215	-0.176
	(0.148)	(0.143)
Supported families	2	2
gls common effect	-0.208	-0.145
	(0.136)	(0.124)
Supported families	2	2
Country–stack–years	804	798
Countries	46	45

This table reports adoption-support restrictions on the primary benchmark. The dependent variable is country–stack–year mean log Bid-Ask Spread, in log units. Panels require two or five adopting countries per family; rows report explicit equal/cap averages and GLS pooling. Columns omit/add lagged income, GDP growth and trade/GDP. Samples hold companies fixed for three pre-reform years and years 1–3 after implementation, using GDP country weights, Country FE $\times$ stack and Year FE $\times$ stack. Family counts are reported. Sources are Datastream, official phase dates and World Bank macro series. Shared-country scores determine conditional errors and GLS covariance. The accompanying 576-cell support matrix retains both restrictions, all outcomes, trimming rules, audiences and covariance alternatives; its joint adjusted p-values and pre-reform tests are supplied. Standard errors are in parentheses on the separate row below each coefficient. ***, ** and * denote two-sided significance at 1%, 5% and 10%, respectively.